

University Of Warwick - Warwick Business School

## **IB9HX0 Negotiation**

Individual Assignment - Question 2

### **Formula One Beyond The Racing - The 2025 Concorde Agreement Negotiation**

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## **Section 1 - Case Study Summary:-**

The Formula 1 Concorde Agreement is the foundation of formula one which is signed between three parties, the right holders of F1, The Formula One Group (FOM), the governing body, The FIA, and lastly all the teams participating in F1. In order for teams to participate, they would have to sign this agreement. The most recent version of the Concorde Agreement (ninth version) was negotiated in 2025, and will cover the period 2026 - 2030 (F1.com, 2025a).

The most debated issue of the agreement is how prize money is distributed based on a tiered structure. Approximately \$1.6 billion is paid out in prize money annually. Ferrari is guaranteed the legacy bonus of 5% of the prize money they earn each year as a direct result of competing every season since 1950. As a result of their performance history, Mercedes has received approximately \$112 million worth of hybrid era payments, Red Bull received approximately \$74.7 million. But small teams like Haas or Williams have to compete for any bonus payments, creating a tense atmosphere in the paddock.

The negotiations in early 2025 were complicated by 3 pressures happening at the same time. The Formula One Management and each of the eleven teams signed the Commercial Agreement on March 16, 2025, while FIA President Mohammed Ben Sulayem withheld the signature of the Governance Agreement for nine months and ultimately demanded that the FIA give him more money before he would sign it in December, 2025 (Formula1.com, 2025b; RaceFans, 2025). Cadillac being granted approval as the eleventh team also created a very contentious anti-dilution dispute, the teams had first demanded \$600 million in compensation for diluting their equity and finally settled on \$450 million, which means that the existing teams received \$45 million in compensation each (Motorsport.com, 2024; BlackBook Motorsport, 2025). An additional issue for all teams was the urgency put on each team by the technical reset of 2026, which is the biggest change since 2014 to the rules and regulations, including the introduction of new hybrid power units, active aerodynamics and required use of some sustainable fuels, and that therefore means that certainty in regard to governance is operationally critical for every team to have ready to go (RaceFans, 2025).

## **Section 2 - Analysis And Discussions:-**

### **2.1 Negotiation Issues: Cooperative Game Theory**

The Core Negotiation Issues Associated with the Concorde Agreement Negotiations of 2025: The following 5 core issues impact and structure the negotiations surrounding the Concorde Agreement negotiations:

- Revenue sharing and prize money distribution across the new eleven team grid.
- FIA provides stewarding, race direction, technical oversight funding.
- Governance and decision-making authority of the F1 Commission.
- Long-term viability for teams, broadcasters and commercial partners.
- Impact of the 2026 technical reset.

Analyzing the situation through cooperative game theory structures allows for a better understanding of the negotiation process. An example of this is how the negotiations for Concorde were considered structurally cooperative because there was no formal written agreement to set the standards required by Formula 1 prior to the start of the 2026 season. According to Lewicki et al., (2016) interdependence is the foundation to cooperative negotiations and therefore the three parties were truly interdependent in this instance since FOM had to rely on the teams to be able to race; the teams relied on FOM so that they would receive their promised prize money; both parties relied on the FIA to provide regulation of the sport and the FIA relied on the sport for generation of revenue to validate its existence as a valued organization.

On the other hand, although the parties worked together to achieve a cooperative goal, they also operated independently of each other on individual topics. Distributive issues were mostly revenue sharing issues, such as how to share roughly \$1.4 billion in annual prize funds between 11 teams versus 10 teams (F1Briefing, 2025). FIA funding is an example of an integrative issue (i.e., adding to the prize fund through entry fee revenue will not reduce the other team's share) which means value can be created without a trade-off.

One of the most landmark changes in the entire negotiations was splitting the agreement into two parts - first, ending the commercial piece of the agreement will take place first and then only will the governance piece be able to be done. This was not an administrative convenience, as it may have appeared, but was actually demonstrating how 'sequencing' can provide incredible negotiating leverage. By closing the commercial deal in March 2025 and keeping the governance piece open until completion occurred, the FIA had a credible threat to how the framework as a whole was still incomplete. Therefore, the FIA had a lot of negotiating leverage when it came time to negotiate the entry fees and the way they were funded through regulations. In addition, with the FIA's strong bargaining position via the 9-month period from March to December 2025, the FIA had an additional source of leverage that was used effectively throughout negotiations.

## 2.2 Stakeholders Interests, BATNA, and Power

Fell (2010) and Shell (2001) provided a framework for understanding the true interests of each party versus their stated interests through the analysis of "position and interest." FOM's public statement was to have a smooth transition into 2026 regulations with all parties being signed up and commercially aligned. FOM's true interest was to ensure the ongoing financial strength of Liberty Media and to have continued commercial success through 2026.

The FIA's stated aim was to obtain greater financial recognition, but the underlying aim was to obtain institutional legitimacy: to be seen as a credible governing body of a billion-dollar sport without the public's perception that it was dependent on FOM's commercial goodwill. Ben Sulayem declared that "everyone made money off of the FIA, everyone except for the FIA" (Motorsport.com 2024), which is a positional anchor signalling the desire for recognition as much as revenue. With the commercial agreement signed in March 2025, the FIA's BATNA progressively improved because, as Lewicki, Barry and Saunders (2016) explain, BATNA is not a fixed concept but rather a shifting value based upon the progression of agreements. With commercial commitments from all of the teams, the FIA was left with only one component remaining unsigned, converting an initial position of weak bargaining power into a position of true bargaining power. The nine-month wait for an agreement was only credible due to FOM's greater cost of not agreeing to the Terms of Settlement than the FIA's.

While working within the problem-solving quadrant, FOM wanted a resolution to the race and to achieve their commercial objectives and, in addition, they wanted everyone to sign off (i.e. be in agreement). Every team signing would aid FOM in reaching their business objectives. The FIA changed their method of negotiating from a competitive, to a collaborative approach once they received the necessary funding in order to continue running Formula One. Conversely, Williams and Haas share a collective goal of achieving regulatory certainty. In order to do so, they accepted less prize money with collective compensation for the costs incurred due to the relative size of the teams. Smaller teams started collaborating as a unit in order to achieve fairness amongst the teams regarding the distribution of base revenue (Shell, 2001). In this instance, the smaller teams (who have formed a coalition) used their "collective negotiating power" to counterbalance the larger legacy teams who were opposing them (Shell, 2001).

## 2.3 Strategy Evaluation: What Worked and Why

Evaluating the success or failure of the 2025 Concorde negotiations depends on evaluating the process and the outcome against the interests of all parties involved in the negotiations. Four strategic elements contributed to the overall effectiveness of the Concorde negotiations:

Firstly, the long-term five-year framework created reduced uncertainty for all stakeholders. This matches the view of Schelling (2005) that "long-term agreements [are] essentially bargains" because these agreements reduce the transaction costs associated with renegotiating repeatedly as well as building up trust, which allows future negotiations to be more productive.

Secondly, the intentional separation of issues related to commercial agreements from issues related to governance proved to be a strategic advantage to the FIA. The deadline for the upcoming 2026 season created such pressure for FOM and the teams, which the FIA was able to leverage through their measured approach toward concluding an agreement.

Thirdly, re-framing the FIA funding change from a grievance into a collective investment in the quality of the sport's regulations changed how this became a distributive argument into one that had integrative power. Lewicki, Barry and Saunders (2016) pointed out that re-framing was one of the most effective means for breaking the deadlock created through the positional approach taken in negotiations.

Fourthly, governance reform through lowering the number of teams required to support regulatory decisions from six to four of eleven was in the long-term interest of the FOM as it promoted regulatory agility while being presented as allowing more rapid adaptation to changing competitive conditions. By doing this, the structural power shift resulting from the reduction in the voting threshold was represented as a benefit for all teams rather than simply as reducing the teams' collective power.

## **2.4 Recommendations: What Could Have Been Done Better**

In spite of the successful completion of the agreement, there are four areas in both the negotiation process and outcome that require critical evaluation and recommendations for the next cycle of negotiations.

Firstly, The delay of 9 months between the signing of the Commercial Agreement and Governance Agreement created an extended public period of uncertainty that was damaging commercially and reputationally. A more effective negotiation strategy would have been to jointly negotiate both components (commercial and governance) with a predetermined joint timeline. This methodology, which is aligned with the principle of integrative negotiation to package issues together as opposed to resolving them serially (Fells, 2010), would have reduced the exponents of positional entrenchment and reduced public perception of dysfunction.

Secondly, the sealing off of the Concorde agreement - while commercially logical - generates governance exposure that may be harder to maintain as the global appeal of Formula 1 continues to expand. For example, during negotiating periods, teams like Williams have made direct challenges on the fairness of the legacy bonus from Ferrari (PlanetF1, 2026). Lewicki, Barry & Saunders (2016) point out that information asymmetry is a major cause for positional bargaining, therefore, decreasing will result in moving the negotiations toward integrative solutions.

Thirdly, the structure of the teams' involvement in governance decisions is insufficiently clear. While the voting reform reduced the threshold for a team to have an influence on a rule change from six to four (thus providing the FOM and FIA with more regulatory agility), it means that teams now have less opportunity to influence rules that directly impact their competitive or

commercial positions. Introducing a formal consultation mechanism whereby teams can provide structured input on regulatory proposals prior to the vote by the F1 Commission on those proposals would increase the likelihood of acceptance and enhance the quality of implementation. According to Shell (2001), parties who feel that they have been included in the process of making a decision are more willing to accept substantive outcomes that they have not directly participated in, a concept that can be directly applied to the relationship between teams, FOM and FIA during the next Concorde cycle.

Fourthly, the Cadillac anti-dilution process indicates that there is no clear or pre-approved way for the F1 teams to manage grid expansions. Establishing a transparent and formulaic structure linking entry fees to agreed-upon revenue metrics as part of the Concorde framework will help to improve the likelihood that any future grid expansions will be agreed upon with minimal friction. This is in accordance with the work of Bazerman, Magliozzi and Neale (1985).

## **2.5 Prospects Theory, Reframing, and the Narrative of Agreement**

Ben Sulayem relied on a loss-based mindset when negotiating around how the FIA would govern after reformation negotiations concluded. By consistently framing the FIA as historically underpaid through his repeated public comments, "every body made money off the FIA, except, for the FIA" (Motorsport.com, 2024), Ben Sulayem had established a benchmark of grievance by which proposed solutions to governance issues would be assessed and determined to be deficient unless the perceived disparity was visibly rectified. According to Tversky and Kahneman's (1979) Prospect Theory, loss-based negotiators make fewer concessions as they perceive themselves to be in a less advantageous position relative to another party; thus, they are more inclined to pursue an impasse.

FOM, through its resolution strategy of redefining the FIA's loss-based perspective via a re-framing of any additional funding as being an investment in regulatory quality by all parties versus correcting a historical financial injustice, successfully transformed the FIA's stance from historical grievance to one of future viability. Lewicki, Barry and Saunders (2016) define re-framing as altering "the way that parties define problems and potentially changing the way in which participants view the situation.

According to Gunia et al., the original offer sets the "anchor" which all future negotiating will revolve around. In terms of the FIA and FOM's negotiations, Ben Sulayem's public comments were an established benchmark that created a basis for how the FIA was unhappy with the FOM, which made it difficult for the FOM to not negotiate up from Ben Sulayem's public comments. Integrative Self-Efficacy is the experienced negotiator's ability to create and communicate a resolution that will have the approval of both parties, thus eliminating feelings of loss or failure for either negotiating party.

### **Section 3 - Lessons Learnt:-**

#### **Lesson 1: Long-Term Partnership Work When All Sides See Tangible Value**

The success of the 2025 Concorde Agreement was built upon the parties establishing value for themselves and their stakeholders. FOM received governance reform and commercial stability; FIA received institutional funding and regulatory recognition; Teams received a defined five-year runway for plans associated with a major technical reset. This principle reaches beyond the specific application of Formula 1 – the need for parties to be able to credibly demonstrate value to their respective stakeholders results in successful, sustainable multi-party agreements. Schelling (2005) describes this as the logic of virtual bargains: agreements remain in effect, not because they are legally binding, but because they continue to be perceived by all parties as preferable to having no agreement. As stated by Shell (2001), negotiators who are initiating complex or multi-party commercial agreements should devote comparable effort to creating a successful narrative for each party, as they do to developing their own substantive terms.

#### **Lesson 2: Power Is Strongest When Backed by Legitimacy and Coalition Support**

In addition to its regulatory authority, the FIA's ability to access additional financing through new governance fees was due to the FIA's legitimacy. In 2025 Ben Sulayem framed the FIA's situation financially; many of the teams that raised similar objections had an emotional response to this use of legitimacy, as they were concerned about FOM's over-commercialisation at the same time as the FIA (PlanetF1, 2025). The FIA's situation therefore held a level of legitimacy that would not have existed based on sheer brinkmanship; having this coalition of concern (both from the FIA and teams) created a level of legitimacy that would have been impossible to recreate if the FIA simply attempted to negotiate based upon a threat to compromise by holding out (Thomas & Kilmann, 1974). In short, an effective negotiation posture based upon competing interests can only be used where the party employing such posture possesses a sufficient level of credibility to withstand the threat of not reaching an agreement. If legitimacy is taken away from the negotiation posture, the negotiation posture will be viewed as a form of obstruction, which would create an opposing coalition (Thomas & Kilmann, 1974).

#### **Lesson 3: Sustainable Deals Required Both Commercial and Governance Balance**

The FIA has won tactically through the division of the 2025 Concorde Agreement's commercial and governance aspects but also demonstrated the significant distance between the commercial and governance issues in Formula 1, which cannot both be resolved at the same time. While this division solved the immediate blockage, it has created an additional nine months of public confusion and uncertainty regarding operations. In order to learn from this situation going forward, future negotiation cycles as well as multi-party commercial contracts will need to have a combined set of commercial and governance structures developed with clear linkages between the financial incentives associated with each party's regulatory obligations and responsibilities. Bazerman, Magliozzi and Neale (1985) have shown that package negotiation leads to longer-lasting integrative solutions than sequentially negotiated agreements, because

the latter utilize earlier negotiated agreements as leverage for bargaining against later negotiated ones thus resulting in increasing rather than decreasing conflict.

#### **Lesson 4 - Early Planning Prevents Reactive, Costly Negotiation**

The Cadillac anti-dilution case serves as an example of how much negotiation costs when you are only reacting after the fact, rather than anticipating the possible changes that could occur (like the Cadillac anti-dilution case). Initially, teams sought \$600 million and finally settled upon \$450 M, a settlement made through a process identified by many observers as publicly acrimonious, it also made the lack of funding to address the governance funding gap, As Fells (2010) stated in a paper on preparation for negotiations, "One of the best ways to prepare for future negotiations is to create resolution processes that account for predictable disputes that are likely to occur" within signed agreements as part of preparation for negotiation. For Formula One racing and other commercial sports organizations, it is clear from the Cadillac case that the next Concorde Agreement (which governs all aspects of commercial sports organizations) must have clear entry fee/predictability/ revenue projections and allocation formula provisions in order to prevent an expensive and unproductive distress reaction in April 2025 (Simon, 1972).

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